

ELEMENTS

We see there are four elements in an ADX indicator. The first and most important element is the ADX line itself which reflects the strength of the trend. Next, +DI line and -DI line which shows the direction of the trend. Lastly, the time frame i.e. the number of periods reflected in the ADX. We can change the periods used to calculate the time frame.

SUITABILITY

Again, ADX can be used across for assets and stocks of all sizes. However, true effectiveness will only be understood when a person backtests their strategy and understands if they are working on a particular kind of asset or not.

TRADING SIGNALS

ADX is one of the powerful indicators that are capable of generating buy and sell signals. So, firstly, we will understand the strength of the trend. We will only accept a trade based on ADX if the trend has strength in it i.e. when ADX is greater than 25. The higher the ADX is, the stronger is the trend and the better will it be to accept a trade as the trend will more likely continue. Once the ADX levels are greater than 25, we will use crossovers of +DI and -DI to generate buy and sell signals. Whenever the +DI intersects the -DI from the bottom with $ADX > 25$, we will go long the asset. On the other side, when +DI intersects -DI from the top with $ADX > 25$, we will go short the asset. However, using ADX comes with two shortcomings. First, ADX is not always great with a sideways market. When a sideways market exists, and the trend is weak, we will be protected from entering into a trade because the ADX line will fall below 25. During this time, we will see a lot of crossovers, but ignore them. Second, ADX signals create a lot of false signals. So, we will have to work out solutions to deal with the same in our system.